SDCERS

San Diego City Employees' Retirement System

SAN DIEGO CITY EMPLOYEES' RETIREMENT SYSTEM

REQUEST FOR PROPOSAL (RFP) FOR

GENERAL INVESTMENT CONSULTANT

Table of Contents

I. Introduction 3

II. Proposal Participation, Completion and Submission Procedures 3

A. Mandatory Requirements Certification and Minimum Requirements 3

B. Confidentiality 4

C. Intention to Participate 5

D. RFP Submission 5

III. Proposal Evaluation Criteria 8

IV. Insurance Requirements 9

V. Scope of Services Required 9

VI. Technical Proposal 9

Section I - Profile 11

Section II - Organization / People 12

Section III – Philosophy & Process 16

Section IV – Services Offered / Fees 17

Section V – Other 17

Section VI – Checklist of Items to be Included in your Response 18

I. Introduction

The San Diego City Employees' Retirement System (SDCERS) is requesting proposals from general investment consultants to provide comprehensive pension fund investment consulting services. SDCERS is seeking proposals from independent general investment consultants who have consulting experience in the public pension fund area. Firms are invited to participate in an evaluation process to further represent their capabilities of rendering the following consultant services:

Investment Policy
Asset Allocation and Portfolio Oversight
Investment Manager Oversight
Performance Measurement
Training, Education and Client Service

See section V. for further details on each service area.

II. Proposal Participation, Completion and Submission Procedures

General Investment Consulting firms wishing to respond to this RFP must meet the following minimum qualifications as of January 1, 2027:

A. Mandatory Requirements Certification and Minimum Requirements

SDCERS will accept proposals from firms that meet the minimum requirements listed below. The proposing firm must complete the Mandatory Requirements Certification (attached as *Attachment A*) and submit it with the cover letter.

1. The consulting firm must be a registered advisor under the Investment Company Act of 1940. Please include copies of ADV I and II (with schedules) as **Exhibit A**.

2. The consulting firm must have substantial experience advising multi-billion public pension plan retirement systems.

3. The consulting firm must have at least five (5) years of continuous experience in performing general investment consulting for large institutional clients (endowments and foundations), corporate pension plans or tax-exempt public funds.

4. The consulting firm must be able to maintain a satisfactory data processing interface with SDCERS' custodian, State Street Bank, on-line connection or other electronic means, at the firm's expense, for the purposes of compiling all required reviews and reports.

5. The consulting firm must agree to disclose all potential, current conflicts of interest as well as potential conflicts as they might occur and annually disclose all sources of revenue from sources and affiliations other than investment consulting.

6. The consulting firm must agree to abide by SDCERS' Conflict of Interest policy and Placement Agent Disclosure Policy. These policies can be found in the link labeled Board Policies on SDCERS' website at https://www.sdcers.gov/resources/governing-documents. If any material conflict of interest is found during the duration of the contract, the consulting firm will notify SDCERS' Chief Investment Officer.

7. The consulting firm must be directly responsible for the management of the account, and all personnel responsible for working on the account must be employees of the firm.

8. The consulting firm must not have, nor potentially have, a material conflict of interest to include, but not limited to: SDCERS' Board, Staff, Actuary, External Auditor, Investment Managers, or other consultants.

9. The consulting firm must carry Errors and Omissions coverage and other insuranc e coverage as discussed in Section V. Insurance Requirements.

10. The consulting firm must have its principal place of business within the United States and be subject to service of process in the United States.

11. All minimum qualifications must be met by January 1, 2027.

B. Confidentiality

All responses to this RFP become the property of SDCERS and will be kept confidential until a recommendation for award of a contract has been announced. Thereafter, submittals are subject to public inspection and disclosure under the law, including but not limited to, the California Public Records Act (Gov. Code §§ 7920.000 et seq.) In the event SDCERS receives a request for a copy or inspection of any proposal submitted pursuant to this RFP, SDCERS will notify the Proposer, the individual who is authorized to bind the consulting firm, before providing a response. There are specific exemptions to the Public

Records Act, however, it is the responsibility of the Proposer to assert and seek a judicial determination as to any right of confidentiality that may exist. SDCERS will not make that assertion on behalf of the Proposer. Absent a judicial determination that the documents are exempt from disclosure, they will be subject to public inspection. Submission of a proposal constitutes a complete waiver of any claims whatsoever against SDCERS, and/or its agents, Board Members, officers or employees, that SDCERS has violated a Proposer's right to privacy, disclosed trade secrets or caused any damage by allowing the proposal to be inspected and/or copied.

C. Intention to Participate

If you intend to reply to the RFP, please send an e-mail to Carina Coleman (ccoleman@sdcers.gov), Anders Norrman (anorrman@sdcers.gov) Jamie Hamrick (jhamrick@sdcers.gov), and Demitrios Haldes (dhaldes@sdcers.gov), attaching a letter that your organization will be replying to the RFP. If you have any questions, please e-mail Carina Coleman, Anders Norrman, Jamie Hamrick, and Demitrios Haldes.

D. RFP Submission

Please complete all questions in the order they are presented in the Technical Proposal section of this RFP. Preface each response with the section number, question number and text of the question. Any additional comments or information may be provided as an Appendix. SDCERS accepts no obligations for costs incurred in preparing responses to this request.

The Proposer must contractually sign a cover letter, which must accompany the firm's RFP response. This cover letter must indicate the signer is authorized to bind the consulting firm and must indicate the title or position that the signer holds in the Proposer's firm. **An unsigned cover letter may cause the proposal to be rejected.** The cover letter must contain a statement that the firm acknowledges that all documents submitted pursuant to this request for proposal process will become a matter of public record. The letter must also contain the following:

1. The Proposer's name, title or position, business address, e-mail, telephone, and fax number.
2. The Proposer's Federal Employer Identification Number and Corporate Identification Number, if applicable.
3. A statement indicating the signature is authorized to bind the Proposer contractually.

4. The name, title or position, email, and telephone number of the primary contact and/or account administrator, if different from the Proposer.
5. A statement to the effect that the proposal is a firm and irrevocable offer, valid for six months. Please attach a Fee Proposal as **Exhibit D** of your RFP response.
6. A statement expressing the Proposer's willingness to perform the services as described in this RFP.
7. A statement expressing the Proposer's availability of staff and other required resources for performing all services and providing all deliverables within the specified time frames as described in the RFP.

8. Below is a table of deadlines for key search milestones:

Item	Deadline Date
RFP issued	August 11, 2026
Questions Due Date	August 18, 2026
SDCERS' Responses to Questions	August 26, 2026
Proposal Submission Due Date	September 22, 2026 by 5:00 PM PDT
SDCERS' Evaluation	September 23, 2026 – October 5, 2026
Scheduling of Interviews	October 6, 2026 – October 11, 2026
Candidate Interviews	October 12, 2026 – October 23, 2026
On-Site Due Diligence Visits	November 2, 2026 – November 13, 2026
Finalist Presentations to Investment Committee	January 2027 (Meeting Date TBD)
Contract Negotiation and Execution	January 2027 – May 2027
Commencement of Work	June 1, 2027

The response should be labeled **"2026 SDCERS General Investment Consultant Search."** Please submit **a complete electronic copy (in PDF format) via e-mail** of the proposal to:

Carina Coleman
Chief Investment Officer, SDCERS
CColeman@sdcers.gov
With a copy sent to sdcersinvestments@sdcers.gov, anorrman@sdcers.gov, JHamrick@sdcers.gov, and DHaldes@sdcers.gov

Please direct any questions or clarifications regarding the RFP to:
Carina Coleman at CColeman@sdcers.gov,
Anders Norrman at anorrman@sdcers.gov,
Demitrios Haldes at DHaldes@sdcers.gov, and
Jamie Hamrick at JHamrick@sdcers.gov

The deadline for submission of the firm's proposal is **September 22, 2026 at 5:00 pm (PDT).** All materials must be received by SDCERS at that time. Any proposals received after the stated deadline above will not be accepted.

Please note that there is a Quiet Period in effect from the date of issuance until the selection process is complete in May of 2027. Proposers may only speak to the designated contact persons for RFP related information. A proposer may be disqualified if the Quiet Period is violated.

III. Proposal Evaluation Criteria

SDCERS will determine the specific methodology and criteria by which submitted proposals will be evaluated. Selection of finalists and determinations of compliance with the minimum qualifications is solely and exclusively within the judgment of SDCERS' Staff and may be made solely on the basis of SDCERS' evaluation of a candidate's suitability. The following is a summary of the **general** considerations that will be used to determine the firms that will be selected as finalists:

- Understanding of SDCERS' Scope of Services
- Ability to Deliver Services in a Timely Manner
- Independence and Objectivity of Investment Advice
- Firm Experience and Relevant Client Experience
- Analytical Tools, Research and Process
- Firm Personnel and Proposed Consultant Team

- Client and Industry Feedback
- Fee Schedule

Fees and compensation will be an important factor in the evaluation of investment consulting proposals. However, SDCERS is not required to choose the lowest cost bidder. SDCERS will select the firm that, in the Board's sole discretion, best serves the overall needs of the plan participants and beneficiaries.

IV. Insurance Requirements

The selected firm shall provide evidence of Professional Liability insurance with contractual liability coverage covering the Proposer's liability arising from errors and omissions (E&O) made directly or indirectly during the duration of the contract. The selected firm shall provide coverage for the total limits actually arranged by the selected firm but not less than a $10 million combined single limit, in addition to no less than $10 million of directors and officers (D&O) insurance.

The selected firm shall maintain a Fidelity Bond covering employee dishonesty, in an amount arranged by the selected firm, but not less than $15 million, per occurrence. In addition, the selected firm shall maintain workers compensation coverage. Finally, the selected firm shall maintain cybersecurity insurance not less than $5 million.

V. Scope of Services Required

Policy Duties:

- Provide recommendations concerning long-term investment policy and investment objectives and strategy.
- Provide recommendations regarding investment guidelines and procedures.
- Provide recommendations regarding proxy voting policies and procedures.
- Provide recommendations concerning risk management strategies.
- Provide compliance monitoring.
- Advise on rebalancing policies.

Asset Allocation and Portfolio Duties:

- Conduct an annual asset allocation review.
- Conduct an asset/liability study at least every 3 years.
- Conduct a manager structure review at least every year.
- Provide asset class research, analysis and recommendations.
- Provide an annual Investment Policy Statement review.
- Provide access to analytical software and tools.

- Provide recommendations concerning securities lending strategies.
- Provide compliance monitoring of the securities lending program.
- Provide recommendations concerning custodial arrangements.
- Provide investment vendor fee negotiation services as needed.
- Provide recommendations concerning brokerage issues, including directed brokerage, commission recapture, and low transaction cost trading strategies.
- Provide an annual brokerage commission trading cost analysis.

Investment Manager Oversight and Duties:

- Provide ongoing monitoring of institutional investment managers.
- Provide research and analysis of SDCERS' investment managers.
- Provide investment manager selection services and recommendations.
- Provide investment manager compliance monitoring.
- Provide investment manager compliance with CFA Institute guidelines.
- Provide recommendations concerning investment manager allocation and structure, manager guidelines and benchmark identification.
- Provide an annual comparison report of all manager fee structures relative to peer universes
- Monitor and document managers' and advisors' efforts in regard to ESG/Sustainable Investing and Emerging and Diverse Managers and provide annual report to the Board
- Describe your approach to promoting diversity within your firm as an organization
- Describe your firm's process for identifying emerging and diverse managers. How many new emerging and/or diverse managers does your firm evaluate annually, and what sourcing channels (e.g., conferences, industry networks, research initiatives, direct outreach) do you utilize to develop proprietary manager relationships?
- How does your due diligence process evaluate emerging managers whose track records, assets under management, or operational infrastructures differ from established firms? Please discuss how you assess investment capability, organizational stability, and institutional readiness while avoiding unnecessary barriers to consideration.
- Describe how you have incorporated emerging and/or diverse managers into client portfolios. Include examples of portfolio structures, investment guidelines, risk controls, and monitoring practices used to help clients access these opportunities while maintaining fiduciary discipline.
- What percentage of your firm's current approved/recommended manager universe consists of emerging and/or diverse managers, and what specific organizational resources, research initiatives, or dedicated programs support your firm's ability to identify and underwrite these managers?

Performance Measurement Duties:

- Evaluate total portfolio investment performance to custom policy benchmark.
- Evaluate investment manager performance to policy benchmarks and appropriate peer groups, including relative performance rankings including the top 5th percentile.
- Provide quarterly performance measurement reporting.
- Provide quarterly performance review and commentary to the Investment Committee and/or Board.
- Provide benchmark evaluation, implementation and analysis.
- Provide access to analytical software, if any.
- Provide review of portfolio risk.

Training, Education and Client Service Duties:

- Attend Investment Committee and/or Board meetings and any other meetings.
- Coordinate effectively with specialty consulting firms (Real Estate, Private Equity, etc).
- Provide investment education and training to staff and the Board.
- Provide assistance on special projects.

- Participate in ad hoc workshops on specific issues designated by the Board.
- Communicate regularly with staff about workflow and any other operational issues between meetings.
- Develop educational materials.
- Respond to inquiries in an appropriate and timely manner.
- Share all firm research, including white papers, and provide access to research staff.
- Make no changes in the assigned consultant team without the explicit approval of SDCERS.

VI. Technical Proposal

Please be as clear, accurate, and complete as possible in your responses. Providing incomplete or misleading data may lead to disqualification of the proposal and elimination of the firm from the search process.

Section I - Profile

Name of firm	
Address of servicing office	
Primary Contact Name	Telephone number Fax number Email Address
Year firm was founded	Year firm began offering general investment consulting services
Number of employees on staff	Number of investment professional employees on staff
Has the firm been censured by the SEC or other regulatory agency? ☐ Yes ☐ No	

Total Number of Current Relationships:

Section II - Organization / People

A. Briefly describe your firm's ownership structure and business plan. Are any changes to the ownership of the firm anticipated in the future?

B. Is pension plan consulting your firm's primary business emphasis?

☐ Yes ☐ No

If not, what is your primary business and how does general investment consulting fit? What other services does your firm provide?

C. State the overall business objective of your general investment consulting service with respect to future growth during the next five years.

D.

E. Note any planned areas of emphasis in the near future, including the total number of consulting relationships that will be accepted.

F. Provide the percentage of total firm revenues that came from the categories listed below for each year:

	2025	2024	2023
Consulting to Plan Sponsors	%	%	%
Money Management Activities	%	%	%
Services to Money Managers	%	%	%
Other (Please describe)	%	%	%
	100%	100%	100%

G. Provide details or your firm's financial condition as of the most recent year end (fiscal or calendar).

H. Briefly describe your firm's strengths and competitive advantages.

I. Indicate the number of consulting client relationships gained and lost in the last three years:

	Institutional Funds		Public Funds	
	# Gained	# Lost	# Gained	# Lost
Current Year (2025)				
Last Year (2024)				
Year Before (2023)				

J. For each calendar year beginning in 2023, provide the name and dollar amount of assets of all full-service retainer investment consulting clients that terminated their relationship with the firm. Provide the reason for each termination.

K. Complete the following table by providing the number of clients and assets under advisement for the firm's full-service retainer investment consulting relationships over each of the last three years. Please provide the data as of December 31 for all years.

	2025	2024	2023
Number of Clients			
Assets under Advisement			

L. Complete the following table as it pertains to principal staff associated with general investment consulting:

Average number of years of related experience:	Average number of years tenure with your firm:
Number of years consulting professionals have worked together as a team:	Person(s) and office responsible for SDCERS' account:
Number of senior personnel who were hired: Current Year Last Year Year Before Last	Number of senior personnel who terminated employment: Current Year Last Year Year Before Last

Indicate the education level and credentials attained by all principal staff associated with the proposed consulting team. In the box beneath each education category, indicate the number of principal staff employees who have achieved that level of education.

Title/Position	# on staff	BA/BS	MBA/MS	PhD/JD	CFA / CAIA / Other (listed below)

M. Complete the following table regarding senior consulting personnel who left or joined your firm within the last three years. Include anticipated personnel changes for the next year.

Name and Title	**Date Terminated or Hired**	**Reason**
Left: Joined:		

N. Provide as **Exhibit B** an organization chart of your firm and describe the relationship between the investment consulting group and any other components of the firm.

O. Attach as **Exhibit C** brief resumes of all principal staff associated with pension consulting. Resumes should include work experience as well as academic credentials. Other qualifying experience, such as published articles, speeches, or participation on panel discussions in professional investment forums should also be included.

P. Describe any potential conflicts of interest your firm may have in the servicing of a general investment consulting relationship. Include activities of affiliated or parent organizations, broker/dealer activities, or investment banking activities. Include any other pertinent activities or relationships not specifically outlined in this question. Please include as **Exhibit D** the firm's conflict of interest policy and Code of Ethics.

Q. Briefly describe your firm's compensation system for principal staff, and indicate what specific incentives are utilized to ensure key professionals do not leave the firm either as a group or individually. How does the firm tie client performance and satisfaction to a consultant's performance?

R. List the dollar amounts of fiduciary liability insurance, errors and omissions insurance, cyber insurance and data breach insurance, and any other bonding coverage carried by your firm.

Insurance Carrier Providing Coverage	Type of Coverage	Dollar Amount

S. Has your firm been subject to or is currently being reviewed/audited by the SEC or other regulatory agencies. If yes, please describe the nature of the investigation.

T. If your firm has been censured by the SEC or other regulatory agency, please explain below. If not, write "n/a" here.

U. During the last 5 years, has your firm or any principal of the proposed consulting team been involved in any litigation or other legal proceeding?

☐ Yes ☐ No

If yes, attach a brief explanation and indicate the current status of the litigation.

V. Describe your firm's disaster recovery plan.

W. Provide as **Exhibit E** a list of the firm's current investment consulting clients. Categorize each client by type (public, corporate, foundation, Taft-Hartley, private, etc.) within the exhibit. For each client, provide the approximate size of the relationship (3/31/26 or current market value of assets), the number of years the firm has provided services to the client, and the type of relationship (retainer or special projects only). Subtotals of each client type and a firm wide total should be provided for the approximate size of the relationships.

Section III – Philosophy & Process

A. Describe the firm's philosophy as it pertains to general investment consulting for a defined benefit pension fund client such as SDCERS.

B. Describe your firm's recommended process for assisting clients with policy guideline development and review. What specifically would the firm do to develop or review the client's policies? How frequently would this process occur? What client-specific factors would be considered?

C. Describe the firm's recommended process for analyzing manager structure.

D. Explain the firm's views on risk management. What does your firm see as the key risks that should be managed in a public pension investment program, especially in one with negative cash flow, and how does your firm recommend a public fund manage those risks?

E. Describe the firm's manager search process. What are the key criteria your firm believes should be emphasized in a search?

F. Describe how the firm monitors a client's investment managers. Besides investment returns, what key criteria does the firm consider in the review of an investment manager? At what point would your firm recommend termination of a manager or strategy?

G. Describe how the firm conducts and evaluates each investment managers' operational capabilities and processes. Does the firm have a dedicated Operational Due Diligenc e team?

H. Describe how the firm conducts research on investment management firms and their products. How many research analysts are dedicated to this function? How often will a representative of the firm's manager search group typically perform an on-site visit to an investment management firm?

I. Describe how the firm conducts ongoing reviews of investment management firms and their products. How does the firm manage current news on investment managers and headline risk with associated investments?

J. Does your firm develop investment research reports for its clients? If yes, on what types of investment topics? Who performs the research? How frequently are reports issued? What annual research reports does the firm produce for clients? What sources of information are used to collect data? Provide a sample research report as **Exhibit F**.

K. Describe how the firm incorporates Environmental, Social and Governance (ESG) and Diversity, Equity and Inclusion (DEI) factors into investment manager recommendations. Does the firm have dedicated resources to evaluating ESG and DEI within investment management firms and their investment processes? How often are ESG and DEI considerations reviewed?

L. Describe the firm's views on the suitability of passive investing in broad-based public market indices versus active fund management in similar sectors. In what sectors do you believe one of the other implementation approach can typically be expected to achieve better results?

M. Describe the firm's views on the suitability of public markets versus private markets for pension systems seeking long-term returns.

N. What criteria does your firm use in recommending a benchmark to clients? Describe the firm's views on the use of custom benchmarks.

O. Discuss methodologies used for reporting performance, specifically the types of methodologies that are relevant and appropriate by asset class.

Section IV – Services Offered / Fees

A. Review the scope of general investment consulting services sought in the cover letter and questionnaire cover, and list which of the services your firm is capable of providing.

B. Indicate any special resources or tools utilized in providing the above identified services that would give your firm a competitive advantage over other general investment consulting firms.

C. Indicate the fee structure for providing the services listed in the scope of general investment consulting services. In order to assist SDCERS in standardizing the comparison of quoted fee structures, please indicate a full retainer annual dollar cost for performing all of these services. If your firm is unable to provide an all-inclusive full retainer fee proposal, then separately identify and price those components of the scope of duties (such as RFPs for manager searches) that would be billed on a per project basis.

Section V – Other

A. Provide a sample client performance report as **Exhibit G**. Are the performance reports customizable?

B. Describe how your firm works collaboratively with clients in developing investment policy on asset allocation and investment implementation to take a holistic approach, recognizing that the consultant reports to the Board and SDCERS Staff. .

C. List references for general investment consulting services. Provide the name, title, address, and phone number for the 3 largest client references utilizing your firm's general investment consulting services. Indicate the scope of services provided to these clients.

Section VI – Checklist of Items to be Included in your Response

The following is a checklist of all items that must be included with your response:

1. Written responses to Section I, II, III, IV, & V of this questionnaire. *An electronic version of this questionnaire (Microsoft Word document) is available upon request.*

2. **Exhibit A** – A copy of your most recent Form ADV Parts I and II (with schedules).

3. **Exhibit B** - An organization chart of the firm.

4. **Exhibit C** - Brief resumes of all principal staff associated with general investment consulting at the firm.

5. **Exhibit D** – A copy of the firm's conflict of interest policy and Code of Ethics.

6. **Exhibit E** - A list of the firm's investment consulting clients as of March 31, 2026, categorized by type of client (public, corporate, foundation, Taft-Hartley, private, etc.).

7. **Exhibit F** – A sample research report.

8. **Exhibit G** – A sample client performance report.

10. **Fee Schedule in Section IV – Services Offered / Fees**

    Indicate the fee structure for providing the general investment consulting services listed in the questionnaire cover. In order to assist SDCERS in standardizing the comparison of quoted fee structures, please indicate a full retainer annual dollar cost for performing all of these services.

9. **References for general investment consulting services in Section V – Other**

    Provide the name, title, address, and phone number for the three client references utilizing your firm's general investment consulting services similar to the size of SDCERS and the scope of services listed above. Indicate the scope of services provided to these clients. If possible, include a California public pension plan.